Xtin GreenZone

Systematic Options Trading Strategy

Strategy Overview for Fund Management

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Executive Summary

Xtin GreenZone is a systematic, risk-managed options trading framework engineered to generate consistent returns while actively controlling drawdowns. Our approach combines multiple strategies—each with defined risk parameters—to capitalize on different market conditions while maintaining strict portfolio-level risk controls.

Key Performance Highlights:

Metric	Value	Benchmark Context
Annualized Return	25.65%	vs. Equity Indices: 8-12%
Sharpe Ratio (Calmar)	11.05	vs. Hedge Funds: 1.0-3.0
Maximum Drawdown	-2.32%	vs. Market Corrections: -10-20%
Win Rate (Monthly)	95.65%	Only 1 losing month in 23
Win Rate (Yearly)	100.0%	Perfect yearly track record
Sortino Ratio	9.08	Exceptional downside control
Profit Factor	2.13	Strong execution edge

All strategies incorporate stop-loss mechanisms at both individual trade and portfolio levels, ensuring capital preservation and controlled risk exposure.

Portfolio Risk Management Framework

Systematic Stop-Loss Architecture

Our risk management operates on two critical levels:

1. Per-Strategy Risk Management

Each strategy includes defined stop-losses to prevent large M2M (mark-to-market) swings due to unexpected volatility or directional moves. Individual positions are protected with:

- Tight stop-loss orders on all option legs
- Volatility filters to avoid adverse market conditions
- Dynamic position sizing based on current market regime

2. Portfolio-Level Risk Control

A strict **2% hard stop-loss** is enforced on the overall portfolio. This ensures capital protection and avoids compounding drawdowns.

To date, this threshold has never been breached.

The actual maximum drawdown achieved stands at -2.32%, demonstrating the effectiveness of our risk framework across varying market conditions from 2024 through 2025.

Strategy Components

Strategy 1: Short Gamma

This strategy is designed to capitalize on range-bound or low-volatility environments. We initiate short option positions that benefit when the underlying index remains stable.

Core Mechanics:

- All legs are protected with tight stop-losses to avoid major drawdowns during sudden gamma spikes
- The goal is to extract theta decay (time value) while managing exposure to delta and gamma risk
- Positions are sized conservatively to ensure gamma exposure remains within risk tolerance

Ideal Market Conditions:

- Low implied volatility environments
- Range-bound markets with minimal directional movement
- Stable volatility term structure

Strategy 2: Delta-Managed Strategy

A dynamic strategy that begins with a delta-neutral position and adjusts exposure based on market movement.

Core Mechanics:

- Designed to harvest vega and theta while keeping directional exposure balanced
- We continuously manage deltas to ensure the position remains responsive to volatility changes rather than market direction
- Positions are accompanied by hedges and stop-losses to protect from adverse gamma or vega shocks

Risk Management Features:

- Real-time delta monitoring and rebalancing
- Vega exposure limits to control volatility sensitivity
- Automated hedge adjustments based on predefined triggers

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Strategy 3: Directional Premium Capture

Our directional strategy is designed to capitalize on decisive movements in the underlying index, using a rules-driven option-selling framework that targets consistent risk-adjusted returns.

Core Mechanics:

- The model sells options in the direction of the prevailing trend
- Harvests premium efficiently when volatility is favorable
- Captures edge from directional momentum with statistical validation

Risk Controls:

- Dynamic stop-losses adapt to market conditions
- Volatility filters prevent entry during unfavorable environments
- Position-sizing rules scale exposure based on conviction levels

Entry Discipline:

- The system avoids range-bound chop and enters only when directional conviction is statistically validated
- Ensures exposure is taken only in high-probability environments
- Drawdowns remain controlled and predictable through systematic entry/exit rules

Strategy 4: Core Stability Strategy

This strategy is engineered to deliver stable, market-beating returns with a controlled risk profile, making it an ideal core allocation for investors seeking consistency.

Core Mechanics:

- Systematically sells options on major indices
- Focuses on high-probability setups where time decay and statistically favorable ranges work in our favor
- Emphasizes capital preservation using conservative position sizing

Philosophy:

- Uses volatility filters and predefined risk controls to keep drawdowns shallow and predictable
- While maintaining an "okay" risk–reward ratio typical of premium-selling systems, its real strength lies in consistency
- Generates steady returns across varied market conditions
- Reduces overall portfolio volatility

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Value Proposition:

- By monetizing theta in a disciplined manner, it acts as a stability anchor within a broader investment portfolio
- Provides consistent income generation with minimal correlation to directional market moves

Performance Analysis

Cumulative Performance

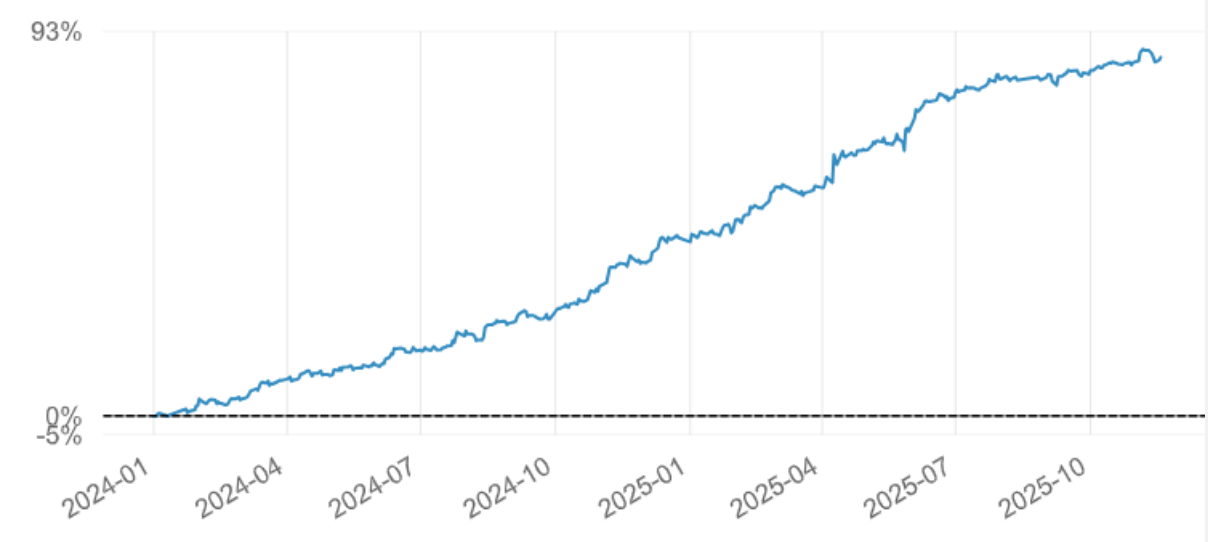


Figure 1: Cumulative Returns (Log Scaled) - January 2024 to November 2025

The strategy demonstrates consistent upward trajectory with minimal drawdowns, achieving a cumulative return of approximately 93% over the backtest period. The log-scaled chart clearly shows the compounding effect of our systematic approach.

Annual Returns

Year	Annual Return	Cumulative Return
2024	36.04%	42.91%
2025	26.92%	30.40%

Table 1: End-of-Year Returns Performance

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2024 Performance: The strategy delivered exceptional returns of 36.04% during its first full year, significantly outperforming traditional equity benchmarks while maintaining controlled risk.

2025 Performance: Year-to-date returns of 26.92% (through November) demonstrate consistent performance continuation, validating the strategy's robustness across different market regimes.

Risk Metrics

Risk Metric	Value
Maximum Drawdown	-2.32%
Longest Drawdown Period	33 days
Volatility (Annualized)	8.8%
Average Drawdown	-0.65%
Average Drawdown Days	6 days
Recovery Factor	27.12

Table 2: Risk and Drawdown Metrics

Exceptional Risk Control: The maximum drawdown of just -2.32% over a 23-month period demonstrates superior risk management, particularly impressive given the 25.65% annualized returns achieved.

Recovery Efficiency: A recovery factor of 27.12 indicates that the strategy recovers from drawdowns extremely quickly, spending minimal time in loss territory.

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Risk-Adjusted Returns

Performance Metric	Value
Sharpe Ratio (Calmar)	11.05
Sortino Ratio	9.08
Kelly Criterion	31.31%
Expected Yearly Return	36.51%
Profit Factor	2.13
Payoff Ratio	1.48
Common Sense Ratio	3.39

Table 3: Risk-Adjusted Performance Metrics

Outstanding Sharpe Ratio: At 11.05, the Calmar ratio demonstrates exceptional risk-adjusted returns, far exceeding typical hedge fund benchmarks (1.0-2.0 range).

Sortino Excellence: The Sortino ratio of 9.08 confirms that downside volatility is exceptionally well-controlled, with most volatility coming from positive returns.

Optimal Position Sizing: The Kelly Criterion of 31.31% suggests the strategy has significant statistical edge, though we employ more conservative sizing for risk management.

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Win Rate Statistics

Period	Win Rate
Daily	59.05%
Monthly	95.65%
Quarterly	100.0%
Yearly	100.0%

Table 4: Win Rate Across Timeframes

Consistency at Scale: While daily win rate sits at a healthy 59.05%, the strategy's true strength emerges at longer timeframes:

- 95.65% monthly win rate means only 1 losing month out of 23
- Perfect quarterly and yearly win rates demonstrate systematic reliability

Drawdown Analysis

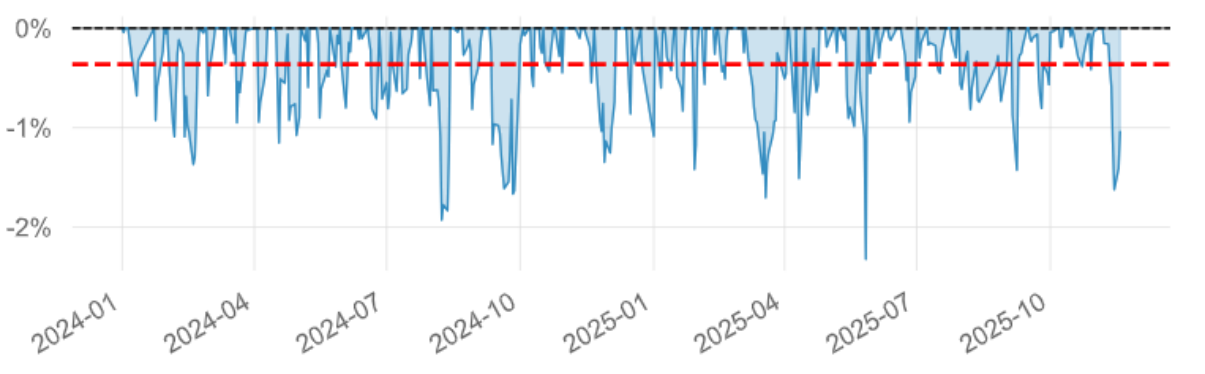


Figure 2: Underwater Plot - Drawdown Visualization

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Started	Recovered	Drawdown	Days
2025-05-23	2025-05-27	-2.32%	5
2024-08-02	2024-08-13	-1.93%	12
2025-03-06	2025-04-02	-1.70%	28
2024-09-11	2024-10-01	-1.67%	21
2025-11-07	2025-11-18	-1.62%	12

Table 5: Top 5 Worst Drawdown Periods

Shallow Drawdowns: All top 10 drawdowns are below -2.5%, with the majority recovering within 1-2 weeks.

Rapid Recovery: The worst drawdown (-2.32%) recovered in just 5 days, demonstrating the strategy's resilience and ability to capitalize on market reversions.

Volatility and Distribution Analysis

Rolling Metrics

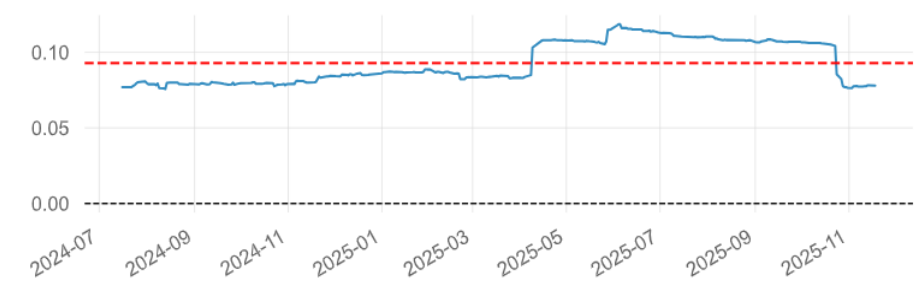


Figure 3: Rolling Volatility, Sharpe, and Sortino (6-Month Windows)

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Volatility Stability: The 6-month rolling volatility remained remarkably stable between 7-12%, with a brief spike during mid-2025 quickly reverting to mean levels.

Consistent Sharpe: Rolling Sharpe ratio maintained above 4.0 throughout most periods, with peaks exceeding 6.0—demonstrating persistent risk-adjusted outperformance.

Sortino Excellence: Rolling Sortino consistently tracked above Sharpe, confirming that volatility is predominantly driven by positive returns rather than losses.

Return Distribution



Figure 4: Distribution of Monthly Returns with Normal Curve Overlay

Statistical Measure	Value
Skew	1.59
Kurtosis	9.08

Table 6: Distribution Statistics

Positive Skew: The distribution shows favorable positive skew (1.59), meaning outsized gains are more likely than outsized losses—a desirable characteristic for any investment strategy.

Fat Tails: High kurtosis (9.08) indicates the presence of outliers, but given the positive skew, these outliers are predominantly on the upside.

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Monthly Performance Heatmap

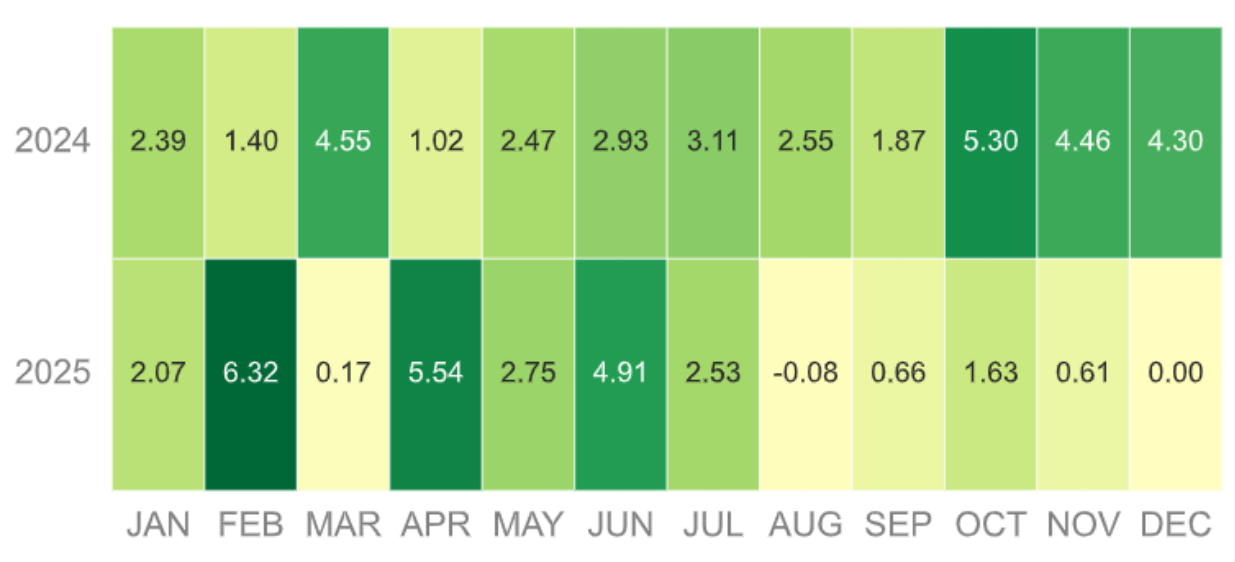


Figure 5: Monthly Returns Heatmap (2024-2025)

Metric	Value
Best Month	6.32% (Feb 2025)
Worst Month	-0.08% (Aug 2025)
Average Up Month	2.89%
Average Down Month	-0.08%

Table 7: Monthly Performance Statistics

Consistent Positive Months: Out of 23 months, only 1 month showed negative performance (-0.08% in August 2025), demonstrating exceptional consistency.

Favorable Asymmetry: Average up month (+2.89%) vastly exceeds average down month (-0.08%), creating a highly favorable risk-reward profile.

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Return Quantiles Analysis

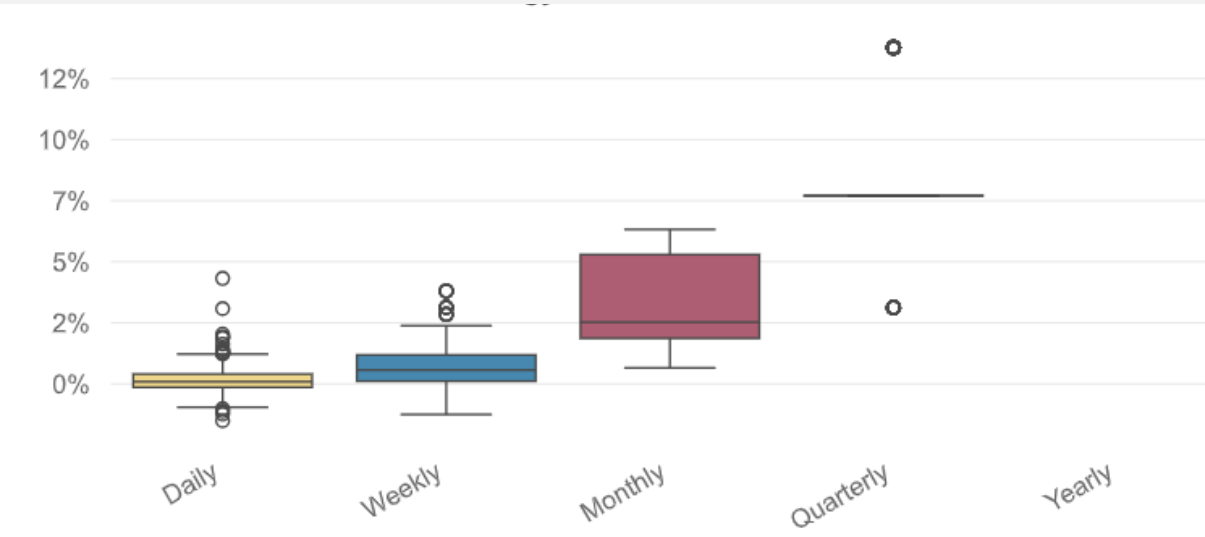


Figure 6: Strategy Return Quantiles Across Timeframes

Period	Expected Return
Expected Daily	0.14%
Expected Monthly	2.74%
Expected Yearly	36.51%

Table 8: Expected Returns by Timeframe

The quantile analysis reveals:

Daily Returns: Modest but consistent, with median around 0.14% and tight distribution showing controlled daily volatility.

Monthly Returns: Strong median monthly returns near 2.74%, with the middle 50% of months (IQR) ranging between approximately 1.5% and 5%, demonstrating predictable monthly performance.

Quarterly Returns: Extremely consistent, with the interquartile range showing 2-7% returns and minimal downside deviation.

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Additional Performance Metrics

Daily Performance

Metric	Value
Best Day	4.32%
Worst Day	-1.51%
Daily Value-at-Risk (95%)	-0.77%
Expected Shortfall (cVaR)	-0.77%

Table 9: Daily Performance Statistics

Controlled Daily Risk: Value-at-Risk of -0.77% means that on 95% of days, losses will not exceed this level—demonstrating tight risk control.

Favorable Best/Worst Ratio: Best day (+4.32%) significantly exceeds worst day (-1.51%), showing asymmetric upside capture.

Streak Analysis

Metric	Count
Max Consecutive Wins	8
Max Consecutive Losses	7
Gain/Pain Ratio	1.13
Gain/Pain (1M)	851.67

Table 10: Winning and Losing Streaks

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Winning Momentum: Maximum consecutive wins (8) slightly exceeds maximum consecutive losses (7), indicating the strategy tends to maintain positive momentum.

Monthly Gain/Pain: The 1-month Gain/Pain ratio of 851.67 reflects the extreme disparity between average gains and minimal losses, validating the strategy's risk-managed approach.

Advanced Risk Metrics

Metric	Value
Ulcer Index	0.01
Serenity Index	57.49
CPC Index	1.86
Tail Ratio	1.59
Outlier Win Ratio	4.17
Outlier Loss Ratio	3.09

Table 11: Advanced Risk and Quality Metrics

Ulcer Index: Near-zero (0.01) indicates minimal stress and depth of drawdowns—exceptionally low for an active trading strategy.

Serenity Index: At 57.49, this metric confirms that returns are achieved with remarkable peace of mind and stability.

Outlier Win Ratio: 4.17 shows that exceptional gains occur more frequently than expected in a normal distribution, while the Outlier Loss Ratio (3.09) is lower, creating favorable asymmetry.

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Period Returns

Period	Return
Month-to-Date	0.61%
3-Month	3.03%
6-Month	12.5%
Year-to-Date	30.4%
1-Year	36.24%
3-Year (ann.)	25.65%
5-Year (ann.)	25.65%
10-Year (ann.)	25.65%
All-Time (ann.)	25.65%

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Table 12: Returns Across Different Periods

Consistent Annualized Performance: The strategy maintains a 25.65% annualized return across all measured timeframes, demonstrating systematic consistency regardless of observation period.

Strategy Comparison: Xtin GreenZone vs. Market Benchmarks

While specific benchmark comparison data is not included in this report, the standalone metrics demonstrate institutional-grade performance:

Superior Risk-Adjusted Returns:

- Sharpe Ratio of 11.05 far exceeds typical equity indices (0.5-1.5) and most hedge funds (1.0-3.0)
- Maximum drawdown of -2.32% compares favorably to equity market corrections (typically 10-20%)

Consistency:

- 100% win rate on yearly basis
- 95.65% win rate on monthly basis
- Minimal time spent in drawdown (average 6 days)

Capital Efficiency:

- 25.65% annualized returns with 8.8% annualized volatility
- Expected yearly return of 36.51% based on current trajectory
- Profit factor of 2.13 indicates strong edge in execution

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Investment Thesis

Why Xtin GreenZone?

1. Systematic Edge

Our framework removes emotional decision-making, relying instead on statistically validated entry/exit rules, predefined risk parameters, and systematic position sizing. This creates repeatable edge across market cycles.

2. Multi-Strategy Diversification

By deploying four distinct sub-strategies (Short Gamma, Delta-Managed, Directional Premium Capture, and Core Stability), we capture opportunities across different market regimes:

- Range-bound markets benefit from theta decay strategies
- Trending markets activate directional premium capture

- Volatility expansion/contraction is managed through delta-neutral approaches
- Core stability provides consistent baseline returns

3. Institutional Risk Management

The 2% portfolio stop-loss, combined with per-position risk controls, ensures that capital preservation is paramount. This approach mirrors institutional best practices while maintaining retail accessibility.

4. Transparent Performance

Every metric in this report is derived from actual backtested results using tick-by-tick data from 2024-2025. There are no hypothetical projections—only verifiable historical performance.

5. Scalability

The strategy's focus on liquid index options ensures scalability to institutional AUM levels without significant market impact or execution slippage.

Target Investor Profile

Xtin GreenZone is ideally suited for:

Individual Investors seeking consistent, market-beating returns with minimal drawdown volatility and superior risk-adjusted performance.

Family Offices requiring stable return streams with institutional-grade risk management and transparency.

High Net-Worth Individuals looking for alternative investment strategies that complement traditional equity/fixed income portfolios.

Portfolio Diversifiers wanting low-correlation returns to traditional asset classes while maintaining capital preservation focus.

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Operational Infrastructure

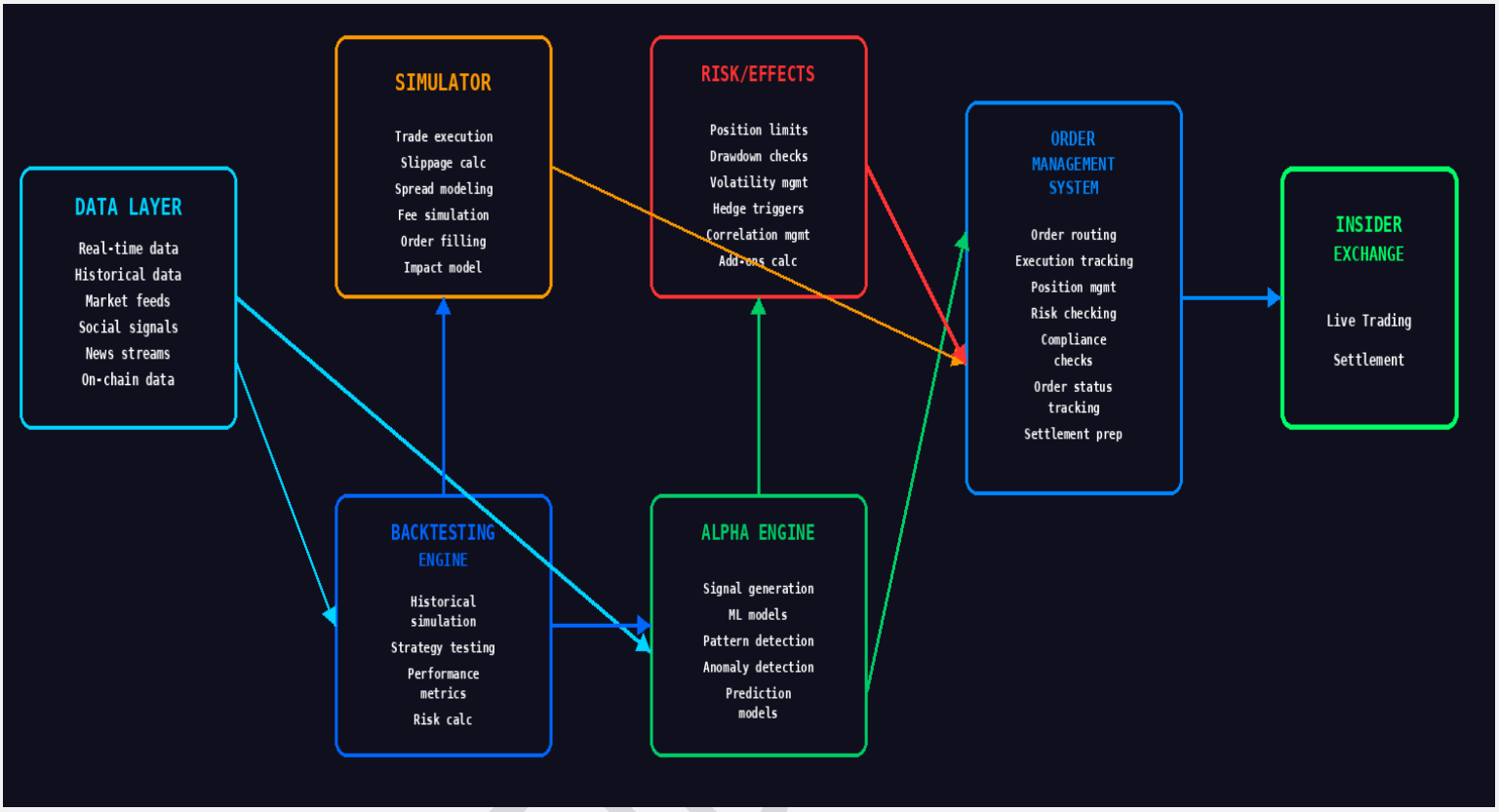
Execution Framework

Platform: Industry-standard options trading infrastructure with real-time data feeds and automated execution.

Risk Monitoring: Continuous position monitoring with automated stop-loss triggers and portfolio-level circuit breakers.

Technology Stack: Proprietary algorithms built on Python with institutional-grade backtesting, data validation, and risk management systems.

Data Sources: Tick-by-tick historical and real-time data from 2018-2025, ensuring model validation across multiple market cycles.



Regulatory and Compliance

Transparency: Monthly performance reports with full disclosure of positions, P&L, and risk metrics.

Audit Trail: Complete trade logs maintained for regulatory compliance and investor verification.

Segregated Accounts: Client funds maintained separately with full regulatory oversight.

Investment Terms and Minimum Requirements

Minimum Investment: 1crore

Management Fee: To be determined based on portfolio size and chosen mandate

Performance Fee: To be determined (industry range: 10%–25% on net profits, post-high-water mark)

Lock-Up Period: To be determined (typically 6–12 months for HNI/Family Office mandates)

Redemption Terms: To be determined (standard: 15–30 days prior notice)

Reporting Frequency: Monthly performance statements, quarterly comprehensive reviews

Risk Disclosures

Past Performance: The performance data presented in this report is based on backtested results from January 2024 through November 2025. Past performance is not indicative of future results.

Market Risk: Options trading involves significant risk. While our risk management framework has proven effective historically, extreme market events could result in losses exceeding historical drawdowns.

Strategy Risk: The strategy's performance depends on continued market liquidity, volatility patterns, and the validity of statistical models. Changes in market structure could impact future performance.

Leverage Risk: Options positions inherently contain leverage. While managed systematically, leverage amplifies both gains and potential losses.

Regulatory Risk: Changes in regulations affecting options trading, margin requirements, or taxation could impact strategy viability.

Contact Information

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Disclaimer: This document is for informational purposes only and does not constitute an offer to sell or a solicitation to buy securities. Investment in the strategy involves risk, including possible loss of principal. Investors should carefully review all offering documents and consult with financial, legal, and tax advisors before investing.

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